carta

How much could you save with QSBS?*

The qualified small business stock (QSBS) exclusion is a U.S. tax benefit that applies to eligible shareholders of a qualified small business (QSB)—and it allows eligible shareholders to **enjoy up to $10M of federal capital gains tax-free**.

Potential savings with QSBS*

Let's say you joined a Series A company and were granted 10,000 ISOs with a strike price of $5. Nine years later, you sold your shares when the company had an IPO, and your shares were worth $100.

Exercised while QSBS eligible

[Held eligible shares for 5 years]

Gain	**$950,000** Profit
Exercise cost	**$50,000**

Exercised at IPO

[Didn't meet QSBS eligibility requirements]

Gain	**$598,500** Profit
Taxes on exit	**$351,500**
Exercise cost	**$50,000**

*The "QSBS eligible" example assumes you exercised all options while the company was a qualified small business and held QSBS-eligible shares for 5 years before sale; and live in a state that has no capital gains or complies with QSBS on a state level. In the "Exercised at IPO" example, you didn't meet QSBS eligibility since you didn't exercise options while the company was a QSB or hold shares for 5 years before sale.

What's included with Carta?

QSBS attestation letter

Evaluation of your company's QSBS eligibility, accompanied with an attestation letter if meet criteria (typical cost of up to $15k).

Annual QSBS eligibility review

QSBS eligibility should be assessed annually. Our experts will review your company yearly and provide a new attestation letter if it meets criteria.

Customized 1:1 tax modeling

Our Equity Tax Advisors can help employees run tax projections for exercise/sell scenarios with QSBS and more.

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